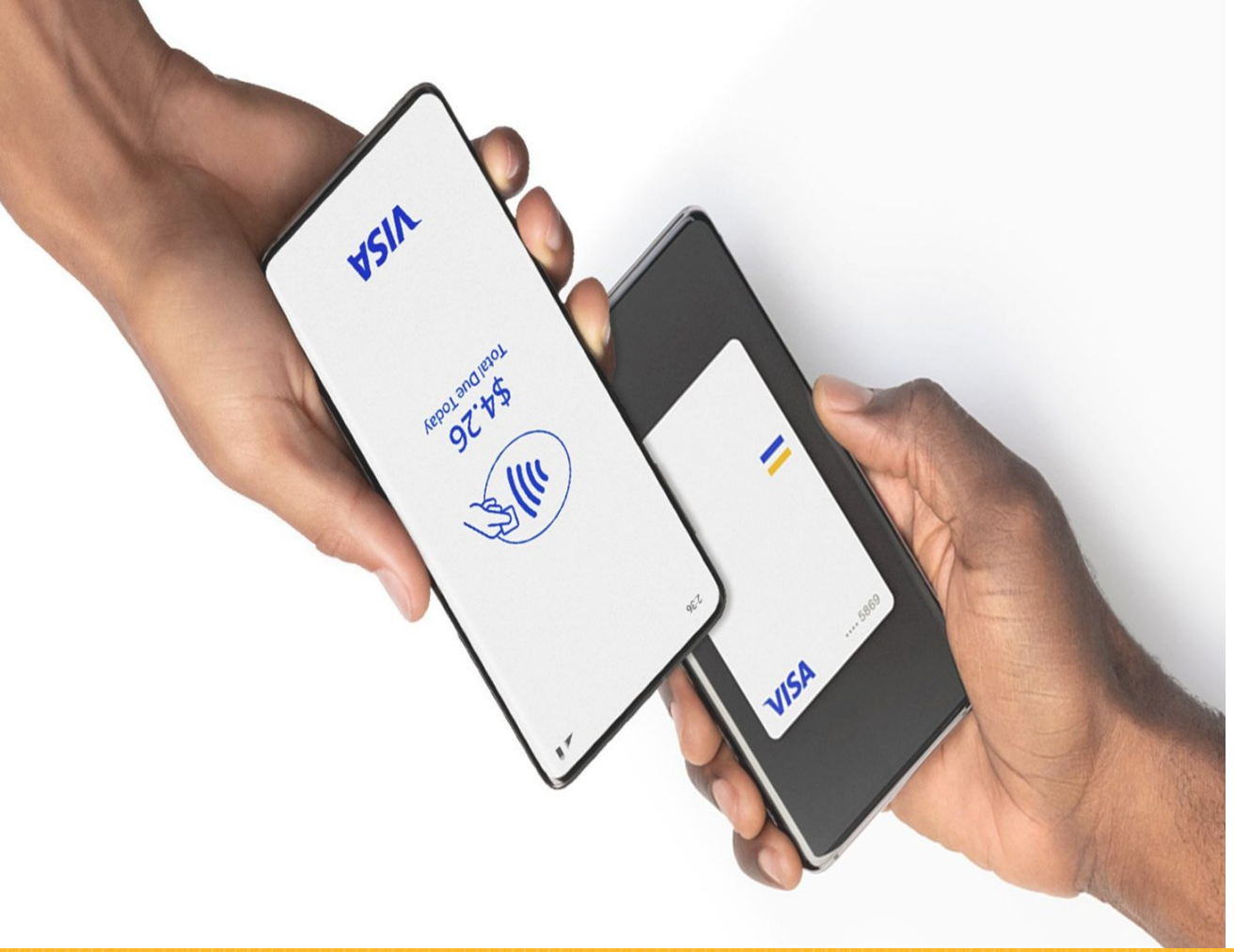


VISA

It's everywhere you want to be.

Visa Inc.
(NYSE: V)

BUY

28.17% Upside

Price Target: $357.70

Last Close (4/4/2024): $279.08

NC A&T EQUITY STOCK PITCH

PRESENTED BY

Aniya Cannon

Jordan Dawkins

Taylor Gadsden

Chandler James

KEY VALUE DRIVERS

1. Competitive Advantage
2. Growth Potential
3. Strong Financial Performance

MARKET & INDUSTRY ANALYSIS

Rapid Growth Factors

- 01 E-Commerce
- 02 Increased adoption of smartphones
- 03 Growing preference for cashless payments
- 04 Asia-Pacific (APAC) region

Digital Payments Industry

39% Total Global Transactions

SWOT ANALYSIS

STRENGTHS

- Global Presence
- Strong Partnerships
- Strong Financial Health
- Technological Infrastructure

WEAKNESSES

- Cybersecurity Threats
- Reliance on Interchange Fees
- Dependence on Issuing Banks

500 M

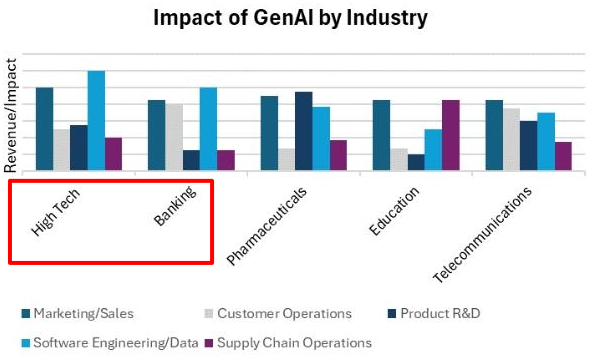
Monthly Cyber Attacks

OPPORTUNITIES

- Generative AI
- Unbanked Population
- Emerging Global Markets
- Growth of E-Commerce & Digital Payments

THREATS

- Competition From New Entrants
- Geopolitical Risks
- Regulatory Changes
- Economic Downturns



PESTEL ANALYSIS

POLITICAL

- Government Regulations
- Trade Policies
- Political Stability in Key Markets

ECONOMIC

- Global Economic Growth
- Interest Rate Fluctuation

SOCIAL

- Demographic Trends
- Consumer Behavior
- Increased Urbanization

TECHNOLOGICAL

- Data Privacy
- Digital Payments
- Generative AI & Machine Learning

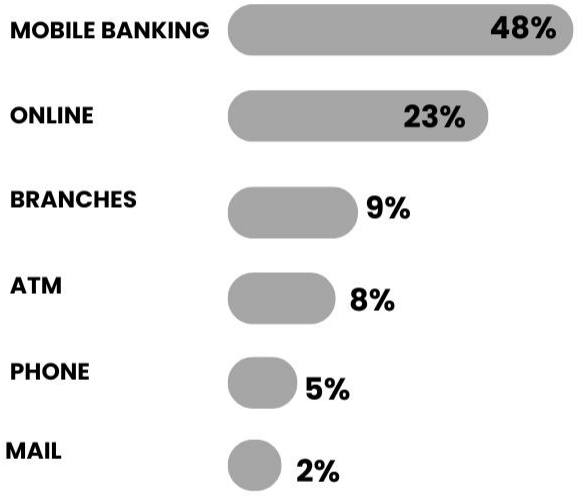
ENVIRONMENTAL

- Carbon Footprint
- Sustainable Supply Chain

LEGAL

- Data Protection Laws
- Intellectual Property Rights

HOW AMERICANS BANK

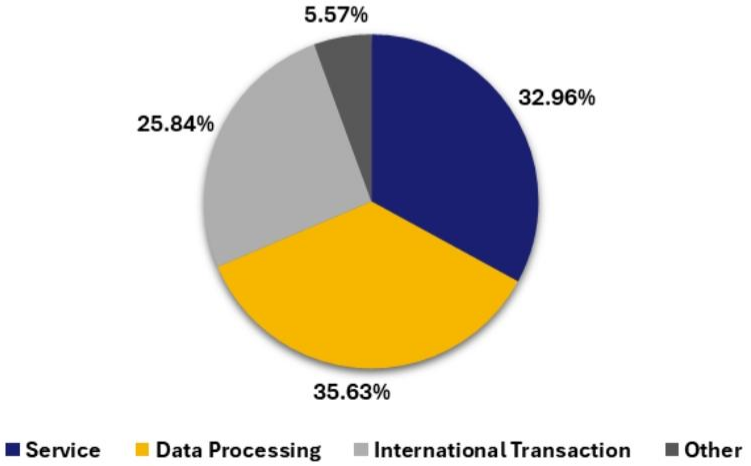


SOURCE: American Bankers Association

COMPANY OVERVIEW

ANNUAL RETURN	DAILY VISA TRANSACTIONS	CURRENCIES IN TRANSACTION PROCESSING	MERCHANT LOCATION GROWTH
25.3%	757M	160	+17%

Breakdown of Revenues



Environmental

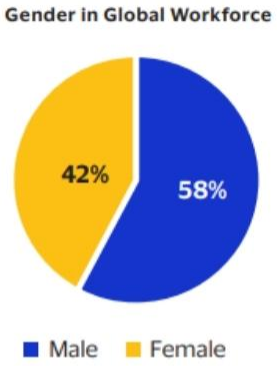
- Carbon neutral since 2020
- **100 % renewable electricity** use maintained for operations
- Cloverly joins Visa's Fintech Program to bring climate change awareness & action

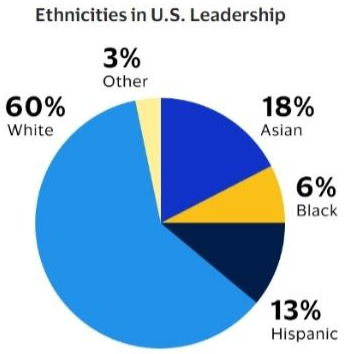
Social

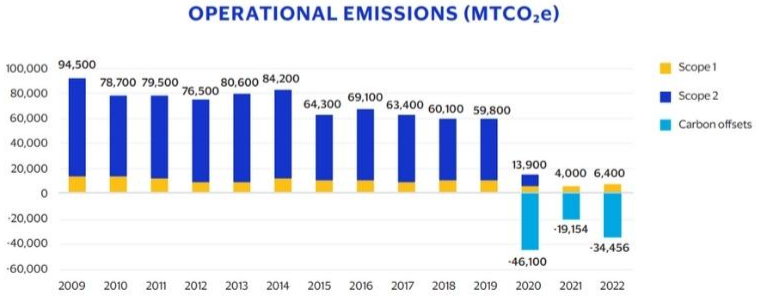
- Digitally Enabled **67 Million SMBs**
- **$1 Billion** Investment in Africa
- Committed $100 Million to SMBs amongst fintech startups

Governance

- **Recently appointed new CEO, Ryan McInerney**
- 80% of board members are independent
- $30 Billion antitrust settlement

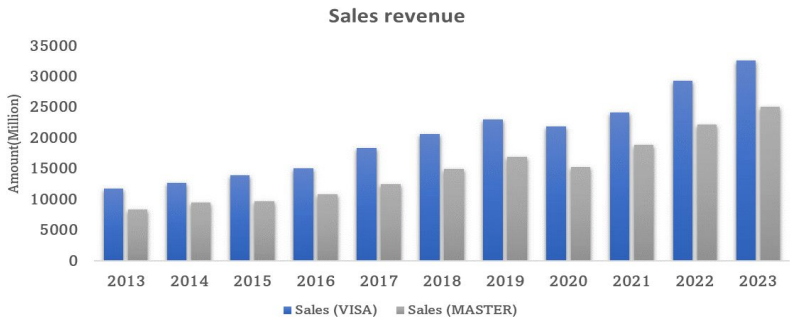


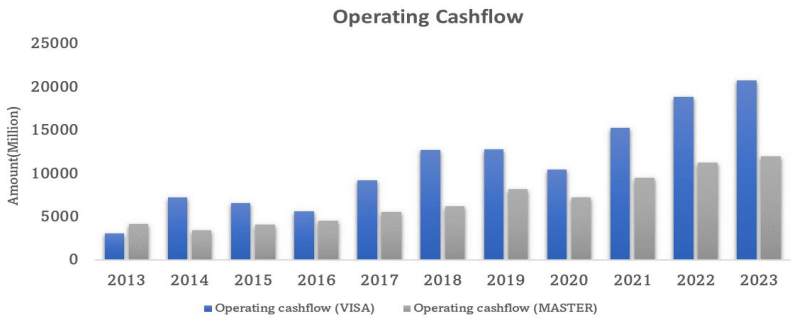


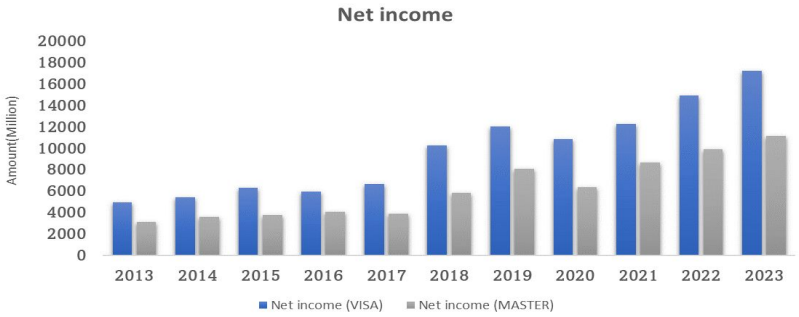


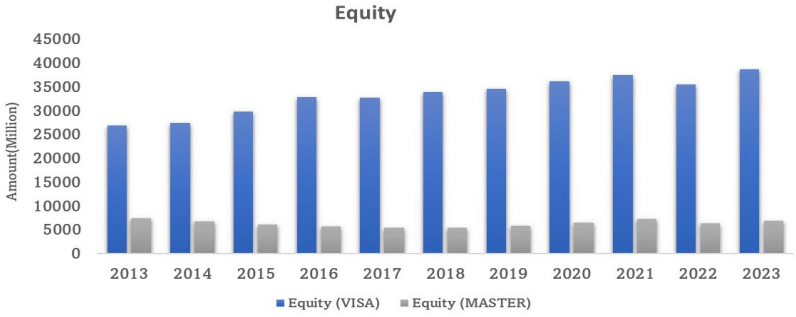
VISA VS MASTERCARD

Compared to Mastercard, VISA demonstrates **superior performance** across key financial metrics consistently showcasing an upward growth trajectory.



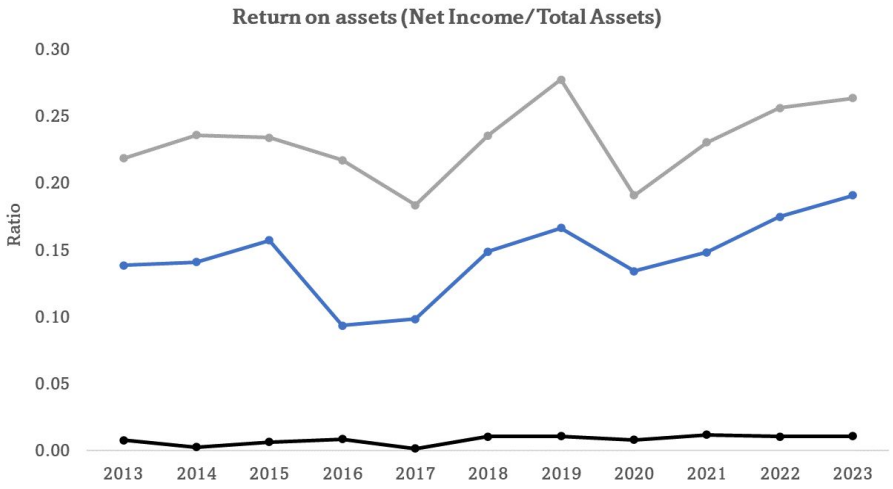


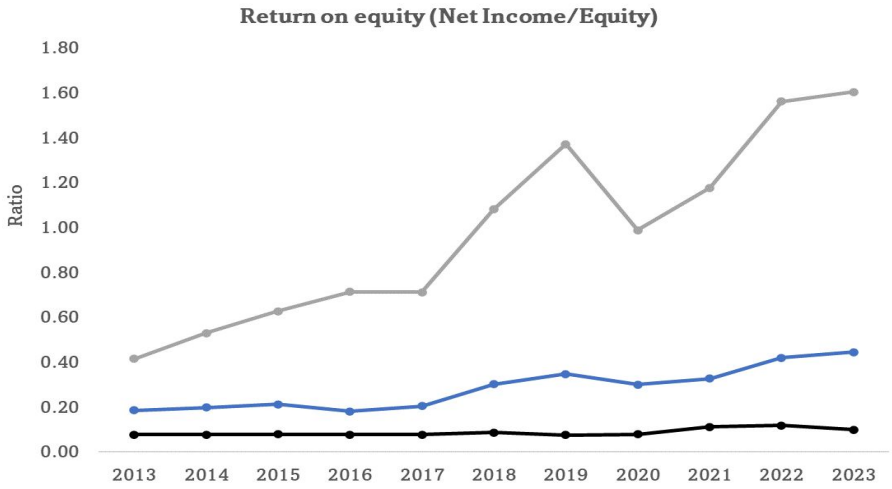




VISA VS MASTERCARD & THE INDUSTRY

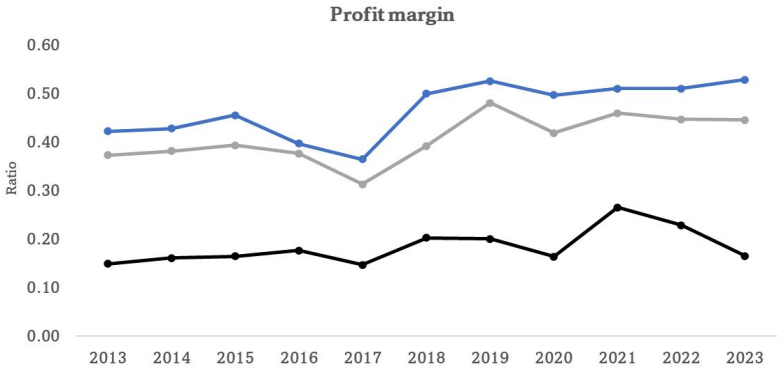
Although Visa's efficiency ratios are well above the industry average, Mastercard's performance exceeds it.

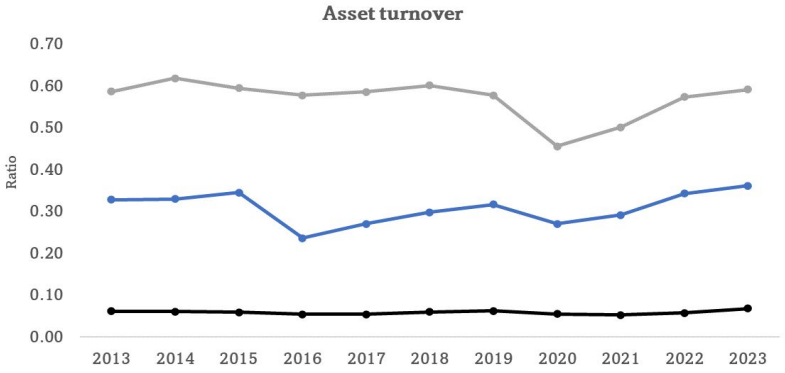


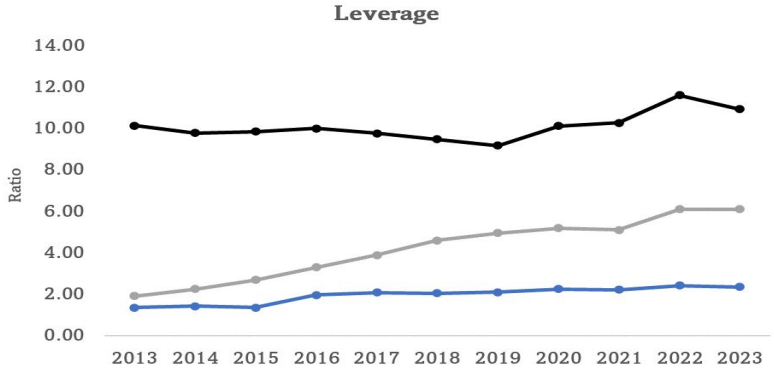


VISA INC MASTERCARD INC INDUSTRY AVERAGE

VISA VS MASTERCARD & THE INDUSTRY







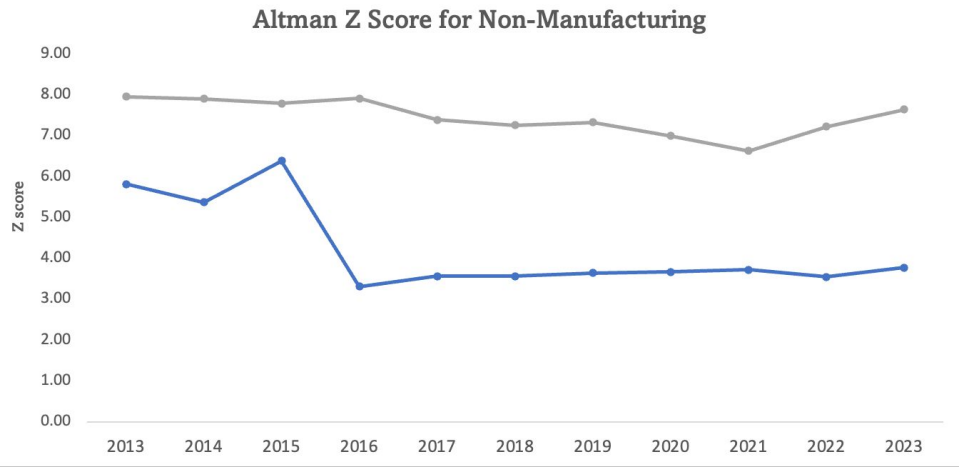
Visa consistently has a **higher net sales margin** than Mastercard, indicating stronger profitability. However, Mastercard excels in asset turnover, reflecting more efficient asset utilization and has a more aggressive approach to debt leverage than Visa.

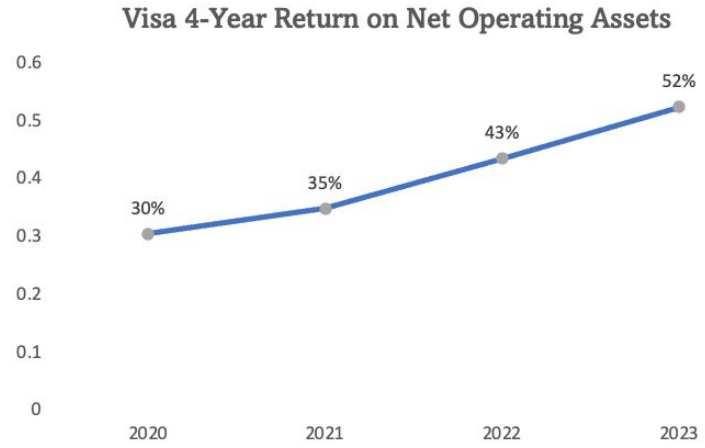
VISA INC — MASTERCARD INC — INDUSTRY AVERAGE

ALTMAN Z-SCORE

Visa's Altman Z-Score is above 3, which signifies that the firm is unlikely to go bankrupt.

Visa's increasing RNOA indicates enhanced efficiency, better asset quality, and improved cash flow, reinforcing the positive implications of its Altman Z-score and indicating a minimal likelihood of credit default and bankruptcy risk.





VISA INC — MASTERCARD INC

VISA'S PEER GROUP ANALYSIS

Peer Group Selection Criteria

- Digital Payment Processing Business
- Standard Industrial Classification
- S&P Credit Ratings
- Profitability Ratio (ROE & ROA)
- Stability Ratio

Initial Set of Peer Group Companies

- Mastercard (MA)
- American Express (AXP)
- Capital One Financial Corp (COF)
- PayPal Holdings Inc (PYPL)
- Discover Financial Services (DFS)

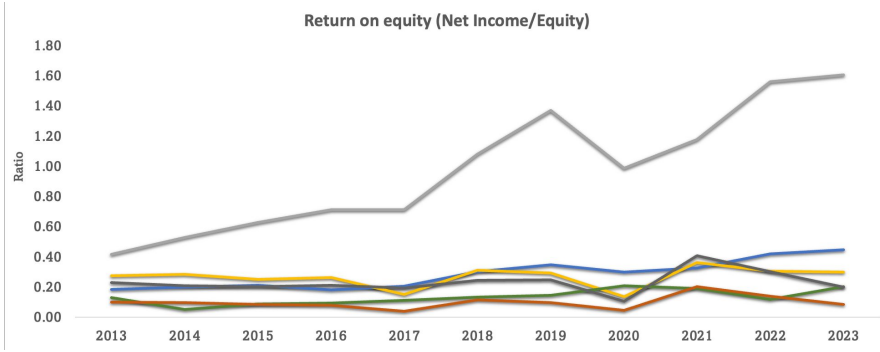
PEER COMPANY SELECTION CRITERIA

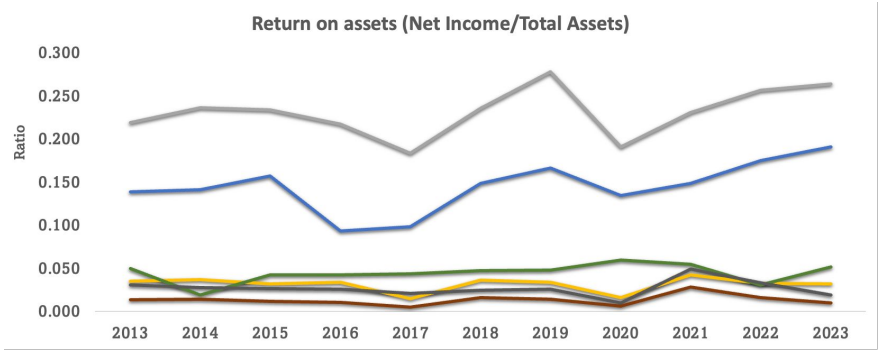
Payment Processing Companies
VISA INC
MASTERCARD INC
AMERICAN EXPRESS CO
PAYPAL HOLDINGS INC
DISCOVER FINANCIALS SVSC
CAPITAL ONE FINANCIAL CORP

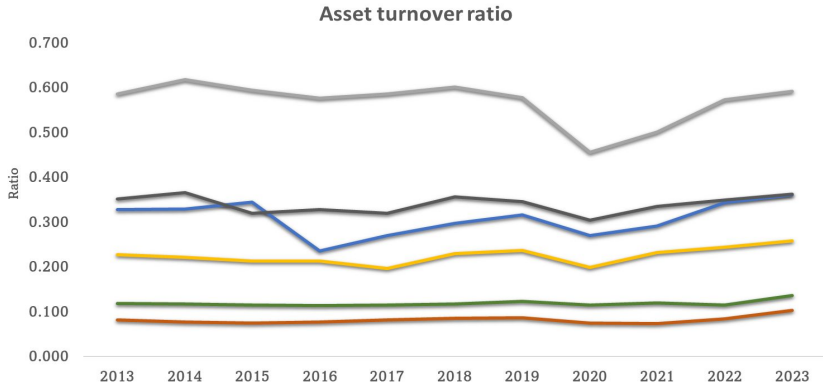
Company	SIC Code	Industry/Peer Group Name
VISA INC	61	NONDEPOSITORY SERVICES
MASTERCARD INC	73	BUSINESS SERVICES
AMERICAN EXPRESS CO	61	NONDEPOSITORY SERVICES
PAYPAL HOLDINGS INC	73	BUSINESS SERVICES
DISCOVER FINANCIALS SVSC	61	NONDEPOSITORY SERVICES
CAPITAL ONE CORP	61	NONDEPOSITORY SERVICES

Company Name	S&P Credit Rating
VISA INC	A +
MASTERCARD INC	A +
AMERICAN EXPRESS CO	A -
PAYPAL HOLDINGS INC	A -
DISCOVER FINANCIALS SVSC	B +
CAPITAL ONE FINANCIAL CORP	B

EFFICIENCY & PROFITABILITY





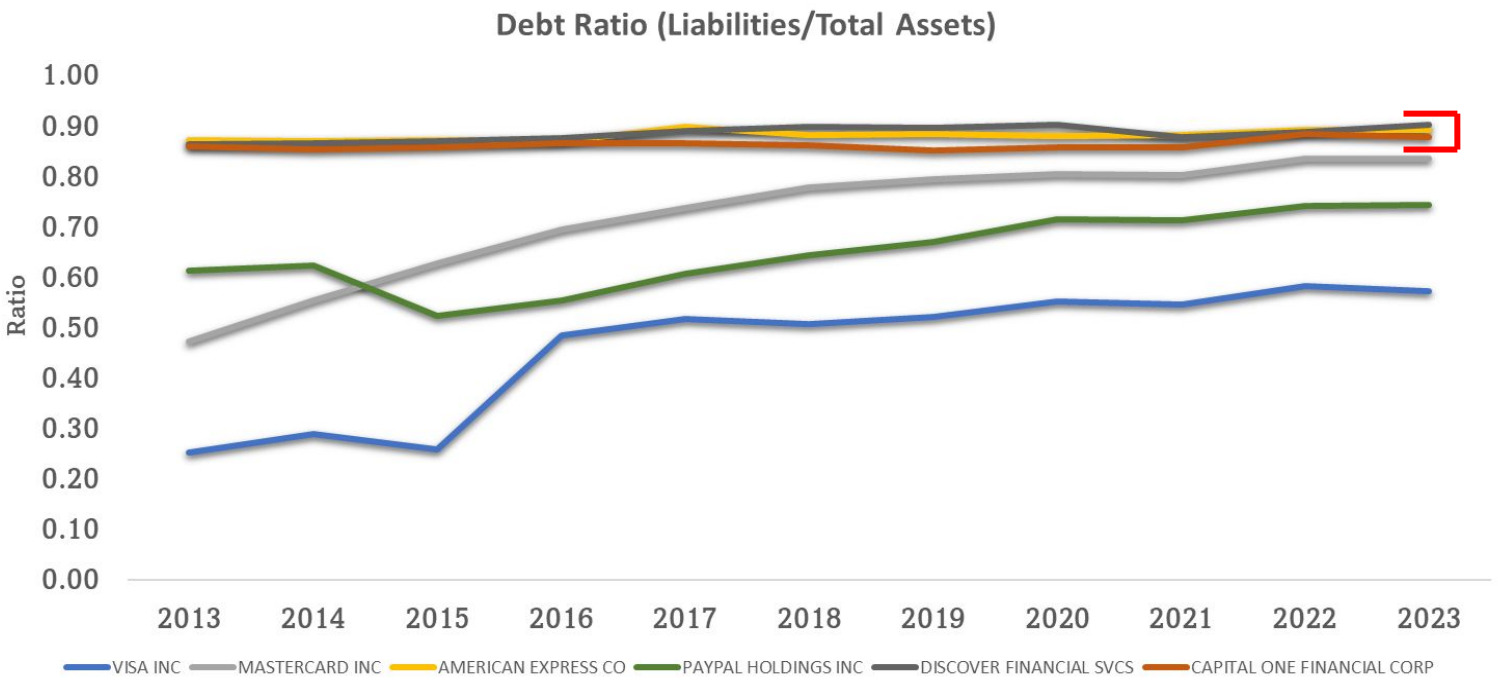


Capital One consistently underperforms in return on equity, return on assets, & asset turnover compared to the other companies. American Express also underperforms in return on assets and asset turnover metrics.

VISA INC | MASTERCARD INC | AMERICAN EXPRESS CO | PAYPAL HOLDINGS INC | DISCOVER FINANCIAL SVCS | CAPITAL ONE FINANCIAL CORP

DEBT RATIO

American Express, Capital One, and Discover have consistently had the highest debt ratio.



FINAL SET OF PEER GROUP COMPANIES

Peer Group Companies

Mastercard (MA)

PayPal Holdings Inc (PYPL)

ASSUMPTIONS

Market Return Assumptions

Benchmark	Return	Weight
S&P 500 Avg. 3 Yr. Return	8.29%	50%
IPAY ETF 8 Yr. Return	8.51%	35%
S&P 500 Avg. 10 Yr. Return	9.94%	15%
Market Return	**8.61%**	**100%**

CAPM Assumptions

Benchmark	Return
Market Return	8.61%
Risk Free Rate	4.22%
Beta*	1.02
Required Rate of Return	**8.70%**

WACC

Cost of Debt After-Tax	4.20%
Cost of Equity	8.70%
Cost of Preferred Equity	0%
WACC	**8.52%**

Sales Growth Factors

Title	Growth Rate	Weighting	Weighted Growth rate
Avg. 2 Yr. QoQ GDP Growth	2.02%	50%	1.01%
3 Yr. Historical Sales Growth	10.65%	35%	3.73%
10 Yr. Historical Sales Growth	10.74%	15%	1.61%
Horizon Period Growth Rate		100%	**6.35%**

Growth Assumptions

Horizon Period	6.35%
Terminal Period	2.40%

FREE CASH FLOW TO THE FIRM (FCFF) MODEL

The Free Cash Flow to the Firm model provides a holistic measure of a company's cash flow available to all stakeholders, facilitating a comprehensive assessment of its intrinsic value and investment potential.

	Reported	Forecasted Horizon Period				Terminal Period
$millions	2023	2024	2025	2026	2027	
Sales	$32,653.00	$33,436.67	$35,558.73	$37,815.46	$40,215.41	$41,180.58
NOPAT	$17,917.00	$18,347.01	$19,511.40	$20,749.69	$22,066.57	$22,596.16
NOA	$37,045.44	$37,934.53	$40,342.04	$42,902.34	$45,625.14	$46,720.14

	Reported	Forecasted Horizon Period				Terminal Period
$millions	2023	2024	2025	2026	2027	
Increase in NOA		$889.09	$2,407.51	$2,560.30	$2,722.79	$1,095.00
FCFF= Nopat-increase in noa		$17,457.92	$17,103.89	$18,189.38	$19,343.77	$21,501.16
Discount factor		0.92	0.85	0.78	0.72	
PV of horizon FCFF		$16,087.33	$14,523.73	$14,232.88	$13,947.86	
Sum PV Horizon FCFF		$58,791.80				
PV of the Terminal Period FCFF		$713,404.37				
Total Firm Value		$772,196.17				
Less(Plus) NNO		$12,446.00				
Less P/S						
Less Noncontrolling Interest						
Firm Equity Value		$759,750.17				
Shares outstanding (millions)		2,011				
Stock Price per Share		**$377.80**				

WACC	Growth Rate							
	$377.80	**6.05%**	**6.15%**	**6.25%**	**6.35%**	**6.45%**	**6.55%**	**6.65%**
7.84%	$463.06	$488.95	$518.07	$551.09	$588.82	$632.37	$683.18	
8.07%	$410.78	$430.93	$453.29	$478.24	$506.26	$537.97	$574.13	
8.29%	$368.97	$385.07	$402.73	$422.22	$443.81	$467.87	$494.85	
8.52%	$334.77	$347.90	$362.19	**$377.80**	$394.91	$413.75	$434.61	
8.74%	$306.27	$317.17	$328.95	$341.71	$355.59	$370.72	$387.30	
8.97%	$282.16	$291.34	$301.21	$311.82	$323.28	$335.68	$349.15	
9.19%	$261.49	$269.33	$277.70	$286.65	$296.26	$306.59	$317.74	

RESIDUAL OPERATING INCOME (ROPI) MODEL

The Residual Operating Income (ROPI) model offers insights into a company's operational efficiency and core business performance, providing a more comprehensive understanding of its value generation capabilities.

		Reported	Forecasted Horizon Period				
$millions		2023	2024	2025	2026	2027	Terminal Period
Sales		$32,653	$33,437	$35,559	$37,815	$40,215	$41,181
NOPAT		$17,917	$18,347	$19,511	$20,750	$22,067	$22,596
NOA		$37,045	$37,935	$40,342	$42,902	$45,625	$46,720
ROPI= (NOPAT-(NOA beg*rw)			$15,191	$16,280	$17,313	$18,411	$18,709
Discount Factor			0.92	0.85	0.78	0.72	
PV of horizon ROPI			$13,998	$13,824	$13,547	$13,276	
Cum PV of Horizon ROPI	$54,644						
PV of terminal ROPI	$620,763.00						
NOA	$37,045						
Total Firm Value	$712,453						
Less (Plus) NNO	-$12,446.00						
PS							
NCI							
Firm Equity value	$700,007						
Shares outstanding	2,011						
Stock Value per Share	**$348.09**						

WACC	Growth Rate							
	$348.09	5.97%	6.10%	6.22%	6.35%	6.45%	6.55%	6.65%
	7.84%	$409.39	$437.25	$469.40	$506.90	$541.73	$581.92	$628.82
	8.07%	$365.00	$386.88	$411.71	$440.14	$466.04	$495.33	$528.74
	8.29%	$329.21	$346.81	$366.54	$388.80	$408.77	$431.02	$455.97
	8.52%	$299.73	$314.19	$330.22	$348.09	$363.93	$381.38	$400.69
	8.74%	$275.04	$287.11	$300.37	$315.02	$327.87	$341.90	$357.26
	8.97%	$254.05	$264.27	$275.41	$287.61	$298.24	$309.75	$322.25
	9.19%	$235.99	$244.74	$254.23	$264.54	$273.47	$283.06	$293.41

MARKET MULTIPLES

Company Name	Ticker	Trading Multiples			
		EV/EBITDA	EV/EBIT	P/S	P/E
		X	X	X	X
Visa Inc.	V	25.0x	26.1x	17.4x	32.5x
Mastercard	MA	29.1x	30.7x	18.1x	40.5x
Paypal Holdings	PYPL	12.0x	14.7x	2.5x	17.7x
High		29.1x	30.7x	18.1x	40.5x
Median		**20.6x**	**22.7x**	**10.3x**	**29.1x**
Low		12.0x	14.7x	2.5x	17.7x
Implied Value per Share		**$331.77**	**$365.93**	**$165.22**	**$472.64**

Multiple	Implied Value per Share	Weighting
EV/EBITDA	$331.77	35%
EV/EBIT	$365.93	15%
P/S	$165.22	20%
P/E	$472.64	30%
Implied Value per Share	**$345.84**	**100%**

DIVIDEND DISCOUNT MODEL (DDM)

- Visa's emphasis on growth rather than dividends reduces the applicability of DDM for valuation.
- Visa has a low dividend yield compared to more mature, slow-growth companies.
- The DDM is less effective for companies experiencing rapid growth.

CAPM Model	
Required Return	8.70%
Div Growth	16%
Terminal Period g	2.40%

Dividend Discount Model						
	2023	2024	2025	2026	2027	Terminal Value
Dividend (Valueline)--	$ 2.08	$ 2.40	$ 2.78	$ 3.21	$ 3.71	3.80
PV of dividend	1.91	2.03	2.16	2.30	2.44	
Total Value of Common Stoc		2.03	2.16	2.30	2.44	60.26
Value/share based on DDM if g>k						43.16
Intrinsic Value					$	52.10

INCORPORATING ESG RISK INTO EQUITY VALUATION

Despite adopting a conservative stance by factoring in a high ESG risk score, our analysis still indicates a 16% upside potential for Visa's stock, showcasing our comprehensive consideration of all factors impacting the company's performance.

WACC Assuming High ESG Risk	
Cost of Debt	4.20%
Cost of Equity	9.04%
WACC	8.85%

16.87% Upside

$326.16

Traditional WACC	
Cost of Debt	4.20%
Cost of Equity	8.70%
WACC	8.52%

28.17% Upside

$357.70

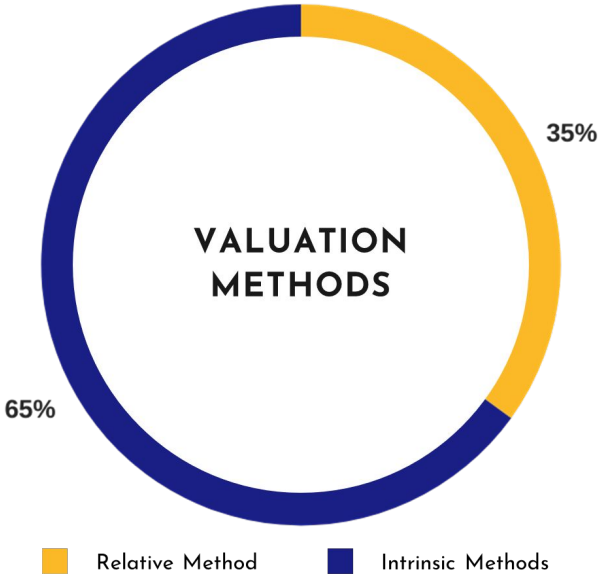
WACC Assuming Low ESG Risk	
Cost of Debt	4.20%
Cost of Equity	8.36%
WACC	8.19%

43.49% Upside

$400.46

BLENDED VALUATION METHODOLOGY

We allocated 35% to a relative method and 65% to intrinsic methods.



We weighted each method to strategically weaken biases.

Method	Weight	Reasoning
Free Cash Flow to the Firm (FCFF)	35%	•Focuses on cash flow to all providers of capital. •Accounts for changes in operating assets.
Residual Operating Income (ROPI)	30%	•Provides insight into core-operating cash flow generation.
Market Multiples	35%	•Market sentiment. •Accounts for uncertainty in company growth.
Dividend Discount Model (DDM)	0%	•Misaligned with VISA business model.

Impact

We are able to achieve a more robust and balanced analysis of Visa's intrinsic value, leveraging the strengths of each method to mitigate biases and uncertainties.

RECOMMENDATION

VALUATION SUMMARY			
Multiples	$345.84	35%	$121.05
ROPI	$348.09	30%	$104.43
FCFF	$377.80	35%	$132.23
DDM	$52.10	0%	$0.00
Intrinsic Value of Company		**100%**	**$357.70**
Stock Price today			*$279.08*
Upside		**BUY**	28.17%

We rate Visa as a BUY recommendation, as it aligns with our investment fund thesis of acquiring stocks with a minimum 25% upside potential.

APPENDIX

RNOA measures a company's ability to generate profit from its operating assets (excluding cash and equivalents). A high RNOA for Visa indicates the company is efficiently using its operational resources to generate profits.

This can be a positive sign for investors, suggesting the company is well-managed and can potentially deliver higher future earnings

Tracking Visa's RNOA over time reveal trends in the company's profitability and operational efficiency. A declining RNOA might indicate potential operational issues or a weakening competitive position, whereas a rising RNOA suggests improving efficiency and potentially higher future profitability.

Possible Reasons for Visa's Lower Cost of Debt

Recent Federal Reserve interest rate hikes have pushed the risk free-rate upwards.

Anomaly (Fixed Rate Debt): Visa may have locked in long-term debt financing at a fixed rate before the recent rate hikes. These pre-existing agreements could be at lower rates that haven't yet adjusted to the new market environment. As the debt matures and gets refinanced, the cost of debt is likely to rise closer to the prevailing market rates.

Strategic Debt Issuance: Visa might have strategically issued debt just before the rate hikes, anticipating them. This could lock Visa into lower long-term borrowing costs compared to future issuances. However, the advantage diminishes as the debt matures and needs refinancing at potentially higher rates.